ጌታቸው ዋጅራ
ቻርተርድ ሠርቲፋይድ አካውንታንት (ዩኬ)
ሠርቲፋይድ የኦዲት ድርጅት (ኢትዮ)

GETACHEW WAKJIRA
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CERTIFIED AUDIT FIRM (ETH)

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Addis Ababa, Ethiopia

## INDEPENDENT AUDITOR'S REPORT TO THE FACTORY OF NATIONAL ALCHOL AND LIQUOR FACTORY

### OPINION

We have audited the accompanying financial statements of National Alcohol and Liquor Factory which comprise statement financial position as at June 30, 2020, and the statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies and other explanatory information.

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the Factory as at June 30, 2020, and its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs).

### BASIS FOR OPINION

We conducted our audit in accordance with International Standards on Auditing (ISA). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Factory in accordance with the ethical requirements that are relevant to our audit of the financial statements and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

### RESPONSIBILITY OF MANAGEMENT'S AND THOSE CHARGED WITH GOVERNANCE FOR THE FINANCIAL STATEMENTS

Management of the Factory is responsible for the preparation and fair presentation of the financial statements in accordance with IFRSs and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Factory's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Factory or to cease operations, or has no realistic alternative but do so.

Those charged with governance are responsible for overseeing the Factory's financial reporting process.



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## AUDITORS' RESPONSIBILITIES FOR THE AUDIT OF THE FINANCIAL STATEMENTS

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

GETACHEW WAKJIRA
CHARTERED CERTIFIED ACCOUNTANT (UK)
CERTIFIED AUDIT FIRM (ETH)

Addis Ababa
October 5, 2020



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NATIONAL ALCOHOL AND LIQUOR FACTORY
STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME
FOR THE YEAR ENDED 30 JUNE 2020

| | Notes | 2020 ETB | 2019 ETB |
|---|---|---|---|
| Revenue | 4 | 946,741,197 | 817,512,796 |
| Cost of sales | 5 | (360,449,004) | (339,303,611) |
| **Gross profit** | | **586,292,193** | **478,209,185** |
| Other operating income | 6 | 11,202,613 | 9,985,933 |
| General and administration expense | 7 | (208,944,049) | (179,782,605) |
| employee Termination benefit/severance expense | 24 | (699,793) | (1,421,062) |
| **Operating profit** | | **387,850,964** | **306,991,452** |
| Finance costs/charges | 8 | (2,810,040) | (2,136,471) |
| **Profit before tax** | | **385,040,924** | **304,854,981** |
| Income tax expense | 9 | (116,000,941) | (91,668,563.07) |
| **Profit for the year** | | **269,039,983** | **213,186,418** |
| **Other comprehensive income** | | | |
| Net other comprehensive income to be reclassified to profit or loss in subsequent periods (net of tax ) | | - | - |
| Net other comprehensive income not to be reclassified to profit or loss in the subsequent period (net of tax) | | - | - |
| **Total comprehensive income for the year net of tax .** | | **269,039,983** | **213,186,418** |



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NATIONAL ALCOHOL AND LIQUOR FACTORY
STATEMENT OF FINANCIAL POSITION
AS AT 30 JUNE 2020

| | Notes | 2020 ETB | 2019 ETB |
|---|---|---|---|
| **Assets** | | | |
| **Non-current assets** | | | |
| Property, plant and equipment | 11 | 643,345,589 | 595,306,108 |
| Right use of asset - land | 17 | 22,133,496 | 22,231,650 |
| Land improvement | | 964,252 | 964,252 |
| Deferred tax asset | 10 | 2,402,384 | 2,356,426 |
| | | 668,845,721 | 620,858,436 |
| **Current assets** | | | |
| Inventories | 16 | 131,452,144 | 106,816,339 |
| Trade and other receivables | 14.2 | 78,925,400 | 2,610,899 |
| Advance and Prepayments | 15 | 63,541,774 | 21,516,181 |
| Cash and short-term deposits | 12 | 175,656,524 | 67,679,215 |
| | | 449,575,842 | 198,622,634 |
| Non-current assets Held For Sale | 13 | 2,056,146 | 9,350,887 |
| **Total assets** | | 1,120,477,709 | 828,831,958 |
| **Equity and liabilities** | | | |
| **Equity** | | | |
| Issued capital | 18 | 220,985,435 | 220,985,435 |
| legal reserve | 19 | 34,842,216 | 21,390,217 |
| Retained earnings | 20 | (15,027,000) | (16,314,834) |
| First time IFRS adoption revaluation reserve | 21 | 90,891,772 | 90,891,772 |
| **Total equity** | | 331,692,423 | 316,952,590 |
| **Non-current liabilities** | | | |
| lease liability | 23 | 19,681,570 | 20,754,717 |
| Termination benefit liabilities | 24 | 8,007,945 | 7,854,755 |
| Deferred tax liabilities | 10 | 27,312,779 | 23,376,721 |
| | | 55,002,293 | 51,986,193 |
| **Current liabilities** | | | |
| Trade and other payables | 25 | 26,583,885 | 26,843,516 |
| Dividend payable | 27 | 466,691,464 | 286,103,480 |
| Current portion of lease liability | 23 | 607,398 | 141,648 |
| Income tax payable | 9 | 109,660,002 | 92,492,575 |
| Other tax and obligation | 26 | 119,235,462 | 44,590,570 |
| Accruals and other non financial | 30 | 11,004,781 | 9,721,384 |
| | | 733,782,992 | 459,893,174 |
| **Total liabilities** | | 788,785,285 | 511,879,367 |
| **Total equity and liabilities** | | 1,120,477,709 | 828,831,957 |



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NATIONAL ALCOHOL AND LIQUOR FACTORY
STATEMENT OF CASH FLOW
FOR THE YEAR ENDED 30 JUNE 2021

| | Notes | 2020 ETB | 2019 ETB |
|---|---|---|---|
| **Operating activities** | | | |
| Profit before tax | | 385,040,924 | 304,854,981 |
| Adjustment for deferred tax | | (565,272) | – |
| Non-cash adjustment to reconcile profit before tax to net cash flows | | | |
| Depreciation of property, plant and equipment | 11 | 38,814,185 | 32,931,078 |
| Amortization of the right use of assets | 17 | 98,153 | 351,262 |
| Severance expense | 24 | 699,793 | 1,421,062 |
| Interest expense | 8 | " | 2,136,471 |
| (Gain) / Loss on disposal of property, plant and equipment | 11 | - | 25,238,510 |
| Reversal Of Employee Benefit | | | (7,440,160) |
| Sample Goft & Bonus | | 1,205,320 | – |
| Working capital adjustments: | | | |
| Increase in trade and other receivables and prepayments | 13,16 | (118,340,094) | (3,697,986) |
| Increase in inventories | 16 | (24,635,805) | (42,592,057) |
| Increase in trade and other payables | 27,28 & 30 | 80,187,133 | (4,212,317) |
| | | **365,314,377** | **308,990,844** |
| Interest paid | 8 | (2,810,040) | (2,136,471) |
| Income tax paid | 9 | (92,492,576) | (63,831,741) |
| **Net cash flows from operating activities** | | **270,011,761** | **243,022,632** |
| **Investing activities** | | | |
| Purchase of property, plant and equipment | 11 | (83,976,215) | (92,510,995) |
| WHT | | (2,450,838) | – |
| Procedes From Sale Of PPE | | – | 1,500,000 |
| **Net cash flows used in investing activities** | | **(86,427,053)** | **(91,010,995)** |
| **Financing activities** | | | |
| Payment of lease liabilities | 23 | (607,398) | (141,648) |
| Repayment of borrowings | 0 | - | (29,508,983) |
| Dividends paid to owners | 30 | (75,000,000) | (102,000,000) |
| **Net cash flows from/(used in) financing activities** | | **(75,607,398)** | **(131,650,631)** |
| Net increase/ ( decrease ) in cash and cash equivalents | | 107,977,310 | 20,361,006 |
| Cash and cash equivalents at 1 July,2019 | | 67,679,215 | 47,318,208 |
| **Cash and cash equivalents at 30 June** | | **175,656,525** | **67,679,214** |



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NATIONAL ALCOHOL AND LIQUOR FACTORY

STATEMENT OF CHANGES IN EQUITY

FOR THE YEAR ENDED 30 JUNE 2020

| | Share Capital ETB | Legal Reserve ETB | Retained Earnings ETB | First time IFRS adoption revaluation reserve | Total ETB |
|---|---|---|---|---|---|
| Balance at 30 June 2019 | 220,985,435 | 21,390,217 | (16,314,834) | 90,891,772 | 316,952,590 |
| Prior Period Ajustment | | | 1,287,834.28 | | 1,287,834 |
| comprehensive income for the year | - | - | 269,039,983 | - | 269,039,983 |
| Dividend To Be declared to state | - | - | (255,587,983) | - | (255,587,983) |
| Transfer of profit to legal reserve | - | 13,451,999 | (13,451,999) | - | - |
| Balance at 30 June 2020 | 220,985,435 | 34,842,216 | (15,027,000) | 90,891,772 | 331,692,423 |



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